UNIT 3 INNOVATION

Definition of Innovation

Innovation is an act of application of new ideas to which creates some value for the business organization, government, and society as well. Better and smarter way of doing anything is innovation. It could be the introduction of:

- New technology.
- New product line or segment.
- A new method of production.
- An improvement in the existing product.

Innovation is closely tied to creativity that is putting creative ideas into action is an innovation, whose consequences should be positive. It is the process of doing something better for the first time, which was not previously done by any entity. It can also be termed as a change which can bring a new edge to the performance and productivity of the company. It is of two types i.e. evolutionary and revolutionary.

Innovation is a process of transforming the resources of an enterprise through creativity of people in new resources and wealth.

CHARACTERISTICS OF INNOVATION

On the basis of above discussion, it can be concluded that:

(i) Innovation implies action, not just conceiving new ideas.

(ii) It is a process of changing, experimenting, transforming and revolutionizing.

(iii) It is a key aspect of entrepreneurial activity,

(iv) It is a "creative destruction".

(v) It leads to technological changes and employment growth*

It is a pervasive attitude, feeling, an emotional state, an ongoing commitment to newness,

Characteristics of innovators.

- Having a compelling innovative people believe they are part of something better to come and their willingness to contribute to the vision will make it happen.

- They are opportunity oriented. They constantly think new ways of doing things and they are not afraid of trying because of the confidence in what they are doing.
- They are passionate about beliefs. They are truly passionate about what they believe

i.e put all their effort in achieving something and they focused on it.

- They are self-disciplined. They are able to their time so that they do input work first therefore they have the ability to do and also work hard to make things happen.
- They are extra ordinary persistent. They are committed to achieve their goals. They keep on going and they do not let obstacles get on their way.
- They are inner directed. They are all oriented or setters and they don't need anyone else to motivate them i.e. nobody tells them what to do.
- They associate themselves with positive people. They usually surround themselves with people with positive attitude towards creating something new.
- They trend spotters. They are able to identify something new and they are ix. Risk takers.
- They take risks to develop a new idea and then turned into improved goods.
- They are creative. Innovative people develop new goods and goes ahead to improve them into bet
- **Opportunity oriented:** An innovator is always thinking of finding an opportunity in any situation. He/s is constantly thinking about new ways of doing things and is not afraid to try something new.
- **Self-disciplined:** They are disciplined in order to work hard and achieve results. They know that it takes self-discipline to achieve results. Innovators are able to prioritize their time so that they are doing the important work first.
- **Positive attitude:** They know that they can achieve what they want without any thing hindering them. Whenever they are doing work, they always know that they can accomplish the mission to the expectations without any obstacles. They cannot believe that work can fail in any way but the result must always be positively achieved.
- **Passionate:** Highly successful people have the belief that they know what they are doing. They give it everything they have. Passionate people are not people with a number of things or interests. They put all their efforts in achieving one thing at ago and are totally focused on that.
- **Inner-directed:** Nobody has to tell an innovator what to do, he/she knows what to do. Because of the self-discipline and ability to focus, innovators get up in the morning and get going. They are goal oriented and do not need anyone else to motivate them.
- **Extraordinarily persistent:** An innovator does not let obstacles get in the way. He/s keeps going and committed to achieving the goals. This makes them achieve their goals.
- **Idea-oriented:** They are always thinking of new ways to do things. They are the ones who come up with solutions to problems of the organization. They

are always looking for the ways and ideas to help the organization stay profitable and viable.

- **Strategist:** They always think of the best and most profitable way to do things. They think strategically where the best project to put in money to generate more profit.
- **Trend-spotters:** They are able to look at the changes taking place in the industry and notice/identify the trends. They spots areas where the company can put money to make more profits.
- **Takes total responsibility for their actions**: They take full responsibility in what they do /situation without blaming others. They are willing to be responsible for their actions.

TYPES OF INNOVATION.

i. **Business model innovation**. This involves changing the way the business is being done in terms of capturing value e.g MTN Co. Vsg Airtel Co, Cocacola Vsg Pepsi Cola.
ii. **Marketing innovation**. This is the development of new marketing methods with improvement in production designs, packaging, branding, and quality production.
iii. **Organizational innovations**. This involves creation of new business structures, practices and models. E.g. new organization chart.
iv. **Product innovation**. This involves introduction of new goods and services that are substantial and improved e.g in terms of ease to use.
v. **Financial innovation**. This involves development of new financial products services.
vi. **Supply chain innovation**. This is where innovations occur in sourcing inputs, products from suppliers and during delivery of outputs /final products to customers.
vii. **Process innovation**. This involves implementation of new or significantly improved production or delivery methods of business products.
viii. **Service innovation**. This involves introduction of new services e.g. Introduction of self.

Other types/approaches

Incremental innovation-Incremental innovation focuses on making modest improvements to existing processes, products or services. It can also be seen as the process of making regular improvements to existing products and services that usually help maintain or improved its competitive position over time.

Incremental innovation refines and improves an existing design, through improvements in the components. However it is important to stress these are improvements not changes, the components are not radically altered. Christensen (1997) defines incremental innovation in terms of: 'a change that builds on a firm's expertise in component technology within an established architecture.'

Example, washing machine, incremental innovation would be offering a machine with a more powerful motor to give faster spin speeds.
Gradual improvements in knowledge and materials lead to most products and services being enhanced over time. However these enhancements typically take the form of refinements in components rather than changes in the system. Thus a new model of the existing product established. This could be anything from tightening up an existing workflow by automating some of the process, to improving your website in order to make self-service easier, thus reducing the number of customers coming to you through more costly and time-consuming channels.

Radical innovation-Radical innovation involves creating a completely new process or product in response to a market need or opportunity. Radical innovation is about much more than improvements to existing designs. A radical innovation calls for a whole new design, ideally using new components configured in a new way.
Radical innovations tend to come as a result of careful research and development into a specific issue or problem, and frequently make use of new technology to solve them. These kinds of innovations are often seen as 'breakthrough' innovations, some of which can change the entire way an organization operates and, on occasion, can result in a new product or service that impacts an entire market sector. In Henderson and Clark's (1990) terms, 'Radical innovation establishes a new dominant design, and hence a new set of core design concepts embodied in components that are linked together in a new architecture.'

Distributed Innovation

The purpose of this theme is to develop new knowledge and inform practice about open and distributed innovation. Developing and commercializing an innovation requires the coordination and integration of knowledge from many different sources and networks. Increasingly, innovators rely on external knowledge to complement and enrich their own expertise.

Business Model Innovation

What enables organizations to devise new business models and what are the sources, and consequences, of business model innovation? Current work focuses specifically on the low-carbon energy sector, which provides an ideal setting to investigate the ways organizations 'experiment with new ways of deploying energy technologies, as well as generating and consuming energy.

Systems, Services and Design

This examines the design, integration and operation of complex systems, particularly in the infrastructure industries (e.g. energy, water, roads and urban environments).

Increasingly, organizations ‘are providing systems and services as 'smart' service in hotels.

SOURCE OF INNOVATION/AREAS OF GETTING NEW IDEAS AND

a) **Customer Feedback**: Listening to your customers' needs, complaints, and suggestions can provide valuable insights into areas where innovation is needed. Customer feedback can highlight pain points and unmet needs that can be addressed with innovative solutions.

b) **Market Research**: Conducting thorough market research can uncover emerging trends, gaps in the market, and changing consumer preferences. Analyzing market data can help identify opportunities for new products, services, or improvements to existing ones.

c) **Competitor Analysis**: Studying your competitors can reveal areas where you can outperform or differentiate yourself. Innovations can often be inspired by observing what others in your industry are doing and finding ways to do it better or differently.

d) **Cross-Industry Inspiration**: Sometimes, the most innovative ideas come from borrowing concepts or solutions from unrelated industries and applying them in a new context. This cross-pollination of ideas can lead to breakthrough innovations.

e) **Technological Advancements**: Keeping abreast of the latest technological developments can spark ideas for innovative products or processes. Technologies such as artificial intelligence, blockchain, and 3D printing, for example, have opened up new possibilities in various industries.

f) **Problem-Solving**: Identifying common problems or challenges in your field or daily life and brainstorming solutions can lead to innovative ideas. Often, innovation arises from finding more efficient, cost-effective, or user-friendly ways to address these problems.

g) **Creativity Techniques**: Employing creativity techniques such as brainstorming, mind mapping, or the SCAMPER method (Substitute, Combine, Adapt, Modify, Put to another use, Eliminate, Reverse) can help stimulate innovative thinking and generate new ideas.

h) **Networking and Collaboration**: Engaging with a diverse group of people through networking events, conferences, or collaborative projects can expose you

to different perspectives and ideas. Collaborating with others can lead to the fusion of ideas and the generation of innovative solutions.

i) **Internal Innovation Programs:** Many organizations have formal innovation programs or departments dedicated to generating and implementing innovative ideas. These programs may encourage employees to submit proposals and provide resources for development.

j) **Personal Experience:** Your own experiences, whether personal or professional, can inspire innovative ideas. Pay attention to your daily life, challenges you face, and moments of frustration or inspiration—they can all be sources of innovation.

k) **Art and Creativity:** Exploring art, literature, music, and other creative outlets can inspire innovative thinking. Creative works often challenge conventional thinking and can spark unique ideas.

l) **Environmental and Sustainability Concerns**: Increasing awareness of environmental issues and sustainability has led to innovative solutions for conservation, renewable energy, waste reduction, and more.

m) **Government Regulations and Policies**: Changes in regulations or government incentives can create opportunities for innovative businesses and technologies. Stay informed about policy developments in your industry.

n) **Emerging Demographics:** Shifts in demographics, such as aging populations or the rise of Generation Z, can lead to new markets and consumer needs, sparking innovation.

Changes in perception mood and meaning. Innovative opportunities occur when societies generate assumptions, attitude and beliefs in change.

Industry and marketing changes. Here the opportunities for innovative products/services/business approach are underlined in the industry/market shifts. E.g. closure of some businesses give room for others to expand their businesses.

IMPORTANCE/ NEED/BENEFITS/ MERITS/ ADVANTAGES OF INNOVATION/ INNOVATIVE PEOPLE.

These merits include the following:

- **It helps to increase productivity**. When new or better production methods are innovated, enterprise output increases.
- **Helps to improve processes**. Processed via which goods are produced are improved through innovation leading to quality output.
- **Helps to offer a variety choice to customers**. Innovations help in the production of different products thus offering variety choice to buyers.

- **It helps to decrease production costs**. When more efficient methods of production are innovated it helps to efficiently utilize resources at reduced costs.
- **It offers improvements in an enterprise**. General work conditions improve due to innovations which offer good production environment.

  Enables an enterprise to attract new customers. Innovations enable to produce new products that attract a new set of customers and widen the market share.

  Innovation help to develop new marketing methods and reposition the product for global distribution. It assists in packaging and repositioning of products.
- **Helps to develop additional channels and value** to make a product stand out. Innovations helps to review problems of customers in distribution and develop new ways to improve distribution.
- **It improves product effectiveness**. This eases the use, increase applications and product value as perceived by customers.

WAYS OF FOSTERING INNOVATION IN SMALL BUSINESS.

- Developing innovative strategies. The entrepreneur is advised to put in place measures or mechanism that promote innovations like allowing workers to carry out research.
- Doing well for others. This increases innovation and success becomes easier to achieve.
- Thinking like an entrepreneur. When a person makes things happen, accepts failure and learns from it to improve ends up becoming innovative.
- Expecting change all times. This helps the business always to be ready to come up with new things.
- Implementing new rules. An entrepreneur needs to learn to go beyond the existing indicators of competition in business environment by looking for new ways of doing things.
- Thinking internationally (widely) this enables an entrepreneur to look for market for his products abroad, to look for technology skills.
- Avoiding barriers that limit innovation in business. The entrepreneur is required to put in place measures to ensure good and internal co-operation among workers, customers, suppliers and other parties so as to create good relationship under environment for innovation to take place.
- Acting fast to take any new business opportunity. This is achieved by coming up with something new that utilizes the identified opportunity.
- Being always a learner is a good tool for coming up with new things or ideas. This helps to meet the needs of market that are not met by competitors.

- Measuring performance indicators. The entrepreneur is required to concentrate the key strategies and profitable indicators by focusing on his/her energy put in new things that really drive the business future.
- Improving on service delivery. This is achieved by doing things for others, it makes success easier for a small business and makes it to stay ahead of the rivals.
- Training workers in innovative methods or ways to become more innovative.
- Measuring performance indicators. This is by concentrating on key strategic and profitability factors.

FACTORS THAT INFLUENCE SUCCESS OR FAILURE IN INNOVATION

Organizations that are consider successful innovators indicate how they place great importance on managing and investing in the following ingredients:

- Information- systems for obtaining reliable, current information about markets, technologies, research, etc in the area in which they operate
- Skills- formal and informal learning for skilling, re-skilling, and multi-skilling of staff to improve their initiatives and focused.
- Funding- Innovation is risky and it usually requires considerable investment of time and money either from previous profits or from external funding, e.g. loans, grants, commissions, share issues, royalties.
- Networks- all organizations rely on networks of other organizations to make and supply materials, components, equipment, and often to provide services such as design, distribution, training, and advertising.
- Reputation- innovations can continue or fade away according to the reputation for style, images, quality, service, performance, status, etc.

Questions.

i. Define the term innovation.
ii. State any three types or forms of innovation.
iii. Distinguish between creativity and innovation.
iv. State three characteristics of innovative entrepreneurs.
v. Describe the different types of innovation in business organization.
vi. Explain the sources of innovation in an enterprise.
vii. Examine the various qualities /characteristics of innovative entrepreneurs.